

Compliance Solutions for Banking Algorithmic Fair Lending under U.S.-Hong Kong Dual Regulatory Rule Adaptation

MH6822 Regulatory Technology

Individual Assignment Task 3

Wang Yue G2505294E

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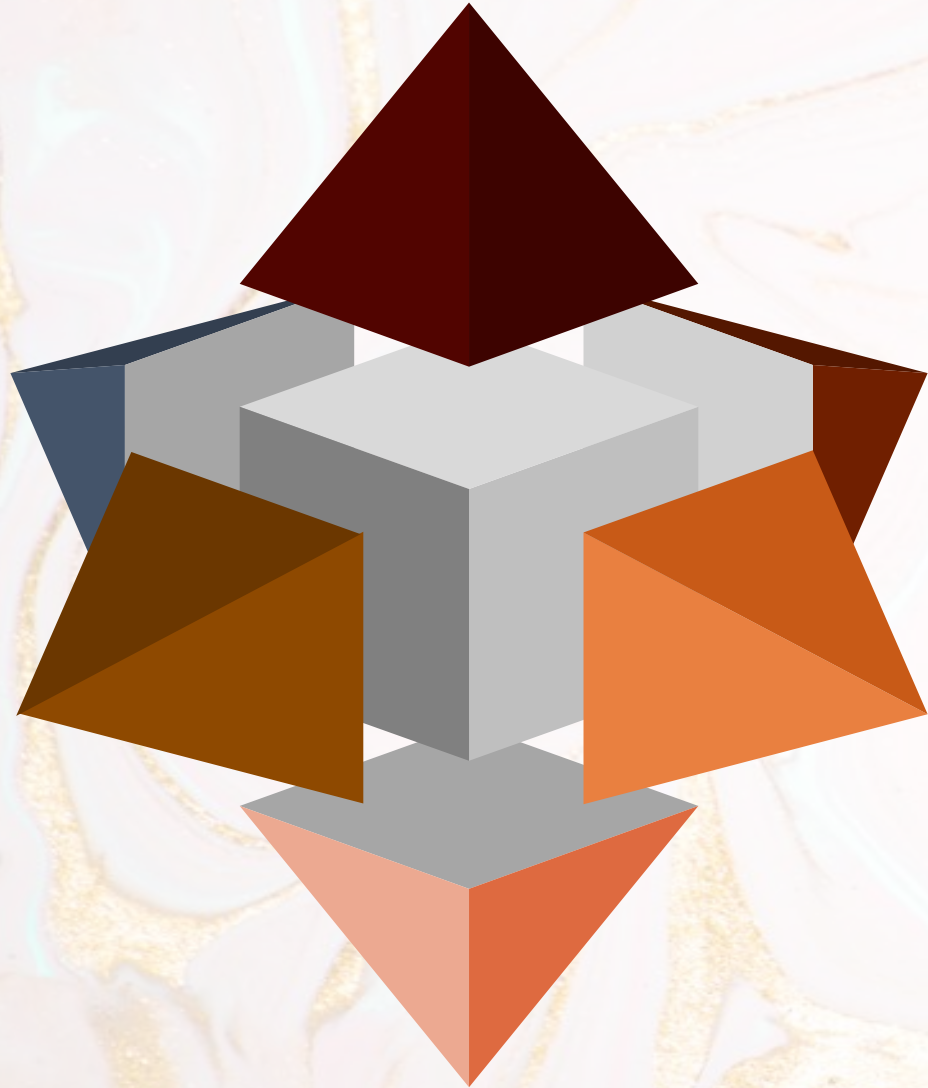


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PART
ONE ▶

Why is this product right for your company?

1. Why is this product right for your company?



The FairLink tool is a solution tailored specifically for The Bank of East Asia (BEA), precisely addressing BEA's cross-border operational pain points of conducting personal credit business in both Hong Kong and the United States. BEA currently **faces completely different regulatory pressures** on algorithmic fairness and fair lending compliance across the two jurisdictions, needing to control compliance costs, ensure approval efficiency, and avoid discrimination triggers and reputational risks.

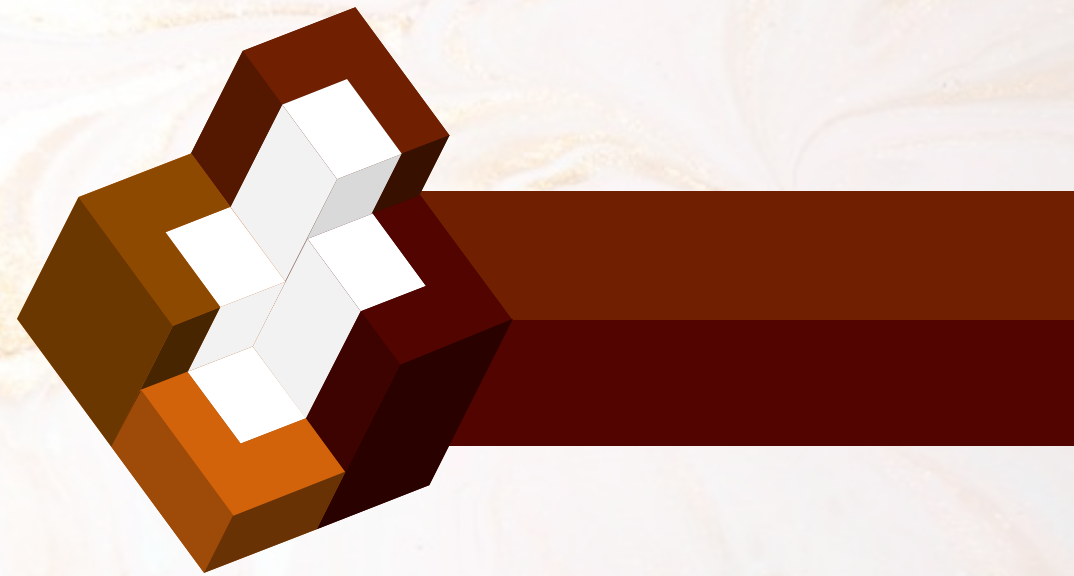
FairLink deeply **aligns with BEA's business scenarios and data systems**, satisfying both the stringent and rigid U.S. anti-discrimination regulatory requirements and Hong Kong's outcome-oriented, human-oversight-focused regulatory logic. It serves as a strategic compliance tool supporting the safe and sustainable expansion of BEA's cross-border credit business.

2 | PART TWO ▶

What problem does this tool solve that a memo or spreadsheet cannot?

2. What problem does this tool solve that a memo or spreadsheet cannot?

- A memo or spreadsheet can only record compliance results after the fact, and **cannot achieve real-time risk identification or automatic cross-jurisdictional rule adaptation**. A spreadsheet can calculate approval rates, but cannot continuously and auditably perform automated multi-group fairness validation. A memo can state compliance policies, but cannot automatically identify compliance differences for the same data across different jurisdictions.
- FairLink **embeds the regulatory rules of both jurisdictions into an automated process**. With one click to import data, it completes fairness audits, differentiated compliance determinations, and automated risk warnings, reducing what used to be weeks of manual audit work to minutes, completely eliminating the risk of huge regulatory fines caused by manual calculation errors and inconsistent policy implementation. This is something traditional static documents can never achieve.





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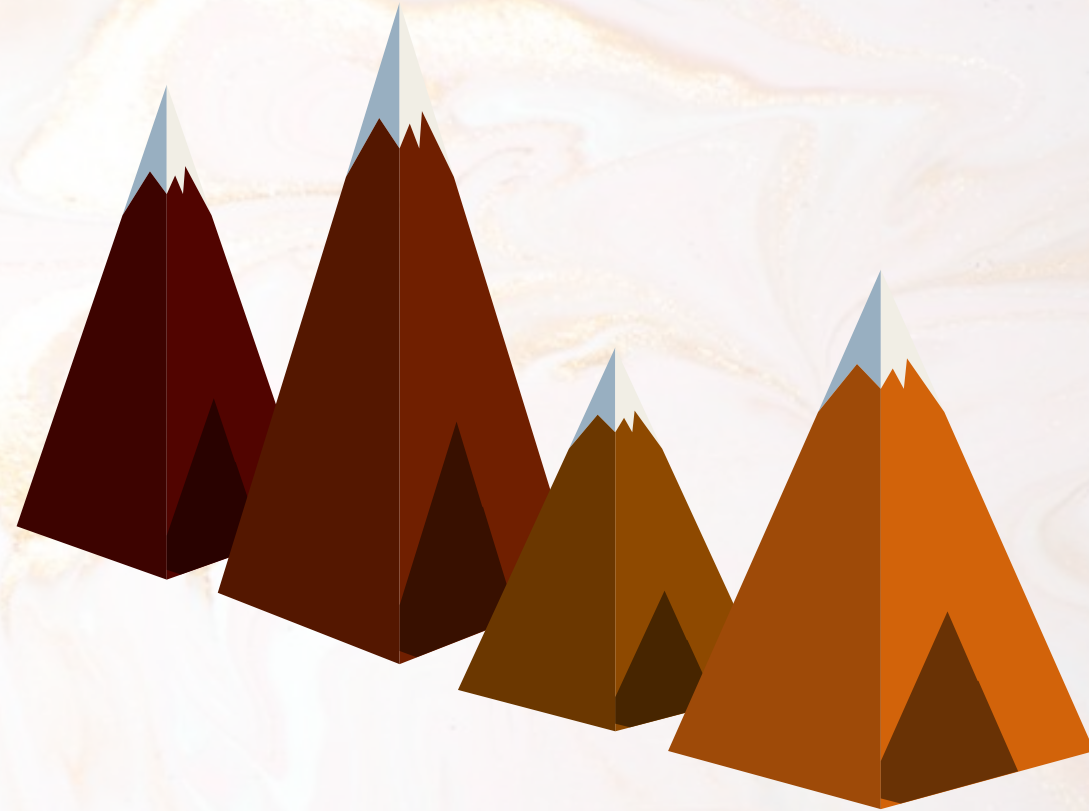
PART
THREE

What regulatory divergence does it handle, and how?

3.1 What regulatory divergence does it handle?

The tool's core function is to address the fundamental regulatory divergence in fair lending between the U.S. and Hong Kong:

- U.S. Regulation: Enforces **extremely strict hard standards**, with a maximum allowable difference in group approval rates of only 10%. Denials require detailed, traceable, technical written explanations, with zero tolerance for hidden discrimination.
- HKMA Regulation: Focuses on fair outcomes, with **no rigid mandatory thresholds**. A group difference within 18% is deemed reasonable, with no mandatory written denial explanation requirement.



3.2 How does the tool handle the regulatory divergence?



FairLink achieves differentiated adaptation through its **proprietary jurisdiction-aware rule engine**. Two independent and updatable regulatory rule libraries are built in. With one click to switch the operating jurisdiction, the tool automatically applies the corresponding region's compliance thresholds, determination standards, and explanation requirements.

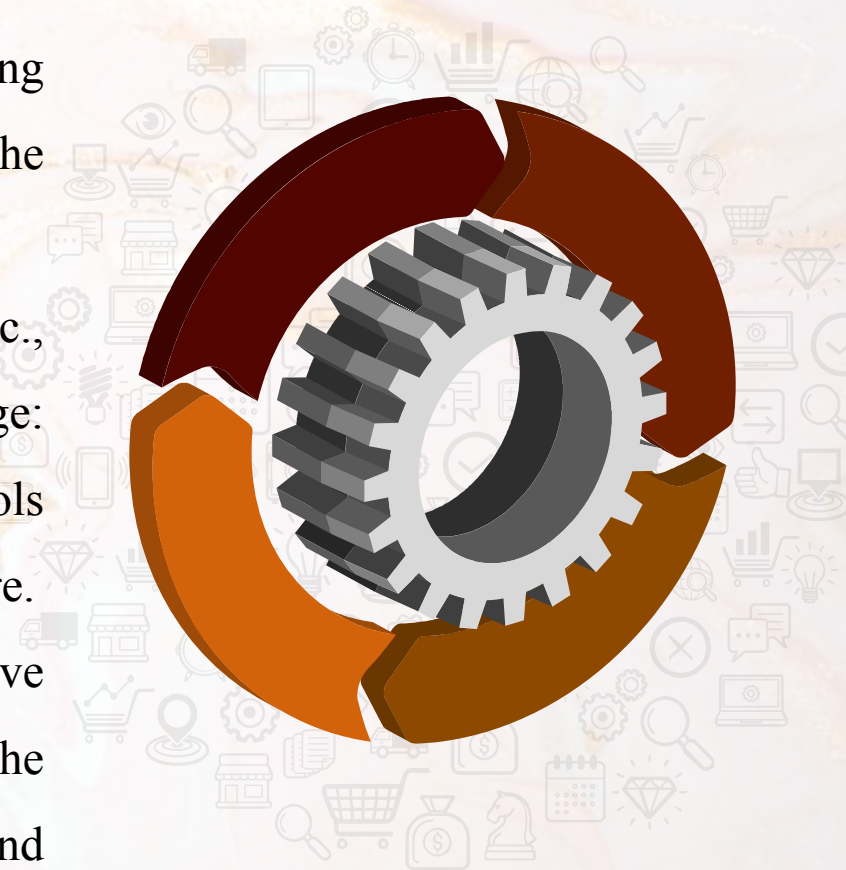


4 | **PART** **FOUR**

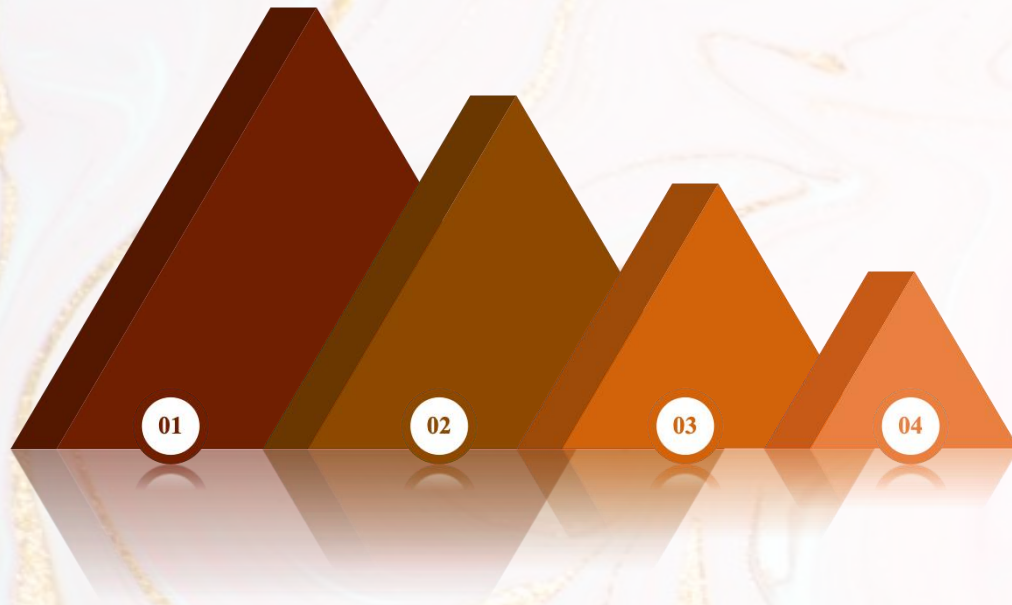
What does it not do - and why did you make that boundary choice?

4.1 What does it not do?

- **Will not replace human credit approval or make final lending/denial decisions:** Human final approval authority is actively retained, fully complying with both jurisdictions' hard requirements for human oversight and avoiding the compliance red line of fully automated algorithmic decision-making.
- **Does not yet cover all protected characteristics** such as race, disability, etc., currently focusing only on the two highest-risk dimensions of gender and age: Prioritizes solving the most core and urgent compliance pain points, controls implementation costs, and allows for lightweight iterative expansion in the future.
- **Does not transport data across borders,** does not process real sensitive customer raw data, and uses only anonymized synthetic data throughout the prototype: Avoids privacy regulatory restrictions across both jurisdictions and significantly reduces data compliance and leakage risks during the pilot phase.



4.2 Why did you make that boundary choice?



This boundary is deliberately designed:

- **First** build a small but refined core capability with high implementation value, quickly demonstrate effectiveness to management and regulators.
- **Then** gradually expand functionality, avoiding the implementation risks and resource waste caused by over-development and over-commitment at the initial stage.



THANKS!